a. Review of Proxy Voting Advice by Registrants and Other Soliciting Persons

The Commission proposed new Rule 14a-2(b)(9)(ii) to require, as a condition to the exemptions in Rules 14a-2(b)(1) and (b)(3), that a proxy voting advice business provide registrants and certain other soliciting persons covered by its proxy voting advice a limited amount of time to review and provide feedback on the advice before it is disseminated to the business's clients, with the length of time provided depending on how far in advance of the shareholder meeting the registrant or other soliciting person has filed its definitive proxy statement.[246] This review and feedback period would be followed by a final notice of voting advice, which would include any revisions to such advice made by the proxy voting advice business as a result of the review and feedback period, thereby allowing the registrant and/or soliciting person time to determine whether to respond to the advice before it is delivered to clients of the proxy voting advice business.[247] By providing a standardized opportunity for registrants and certain other soliciting persons to review proxy voting advice before it is finalized and delivered to clients of proxy voting advice businesses, the Commission believed that these proposed amendments had the potential to greatly improve the overall mix of information available to the businesses' clients, who use proxy voting advice as an important, often critical, element in formulating their voting decisions.[248]

To address concerns that allowing registrants or other soliciting persons advance access to the proxy voting advice could result in premature release of the advice to unauthorized and

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[246] *See* proposed Rule 14a-2(b)(9)(ii).

[247] *See* proposed Rule 14a-2(b)(9)(ii)(B). Under the proposed rules, this final notice would contain a copy of the proxy voting advice that the proxy voting advice business would deliver to its clients and be provided by the proxy voting advice business no later than two business days prior to delivery of the proxy voting advice to its client.

[248] *See* Proposing Release at 44.

unintended parties, the proposed rules specified that proxy voting advice businesses could require that registrants and other soliciting persons agree to keep the information confidential, and refrain from commenting publicly on it, as a condition of receiving the proxy voting advice.[249]

b. Response to Proxy Voting Advice by Registrants and Other Soliciting Persons

In addition to the review and feedback mechanism, the Commission proposed that registrants and certain other soliciting persons also be given the option to request that proxy voting advice businesses include in their proxy voting advice (and on any electronic medium used to distribute the advice) a hyperlink or other analogous electronic medium directing the recipient of the advice to a written statement prepared by the registrant (or other soliciting person, as applicable) that sets forth its views on the advice.[250] As proposed, registrants and other eligible soliciting persons would be able to exercise this right by notifying the proxy voting advice business no later than the expiration of the minimum two-business day period corresponding to the final notice of voting advice.[251] If so requested, the proxy voting advice business would then be required to include in its proxy voting advice the relevant hyperlink or analogous electronic medium directing the client to the registrant's or other soliciting person's respective statement regarding the voting advice.[252]

In addition to the other proposed amendments to Rule 14a-2, proposed 17 CFR 240.14a-

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[249] *See* Note 2 to paragraph (ii) of proposed Rule 14a-2(b)(9), providing that the terms of such agreement apply until the proxy voting advice business disseminates its proxy voting advice to one or more clients and could be no more restrictive than similar types of confidentiality agreements the proxy voting advice business uses with its clients.

[250] *See* proposed Rule 14a-2(b)(9)(iii). Consistent with the proposed review and feedback process, the proposed right to request inclusion of a statement would only have extended to registrants and certain other soliciting persons (*i.e.*, persons conducting non-exempt solicitations). *See id.* ("If requested by the registrant or any other person conducting a solicitation (other than a solicitation exempt under §240.14a-2)…").

[251] *Id.*

[252] *Id.*

2(b)(9)(iii) ("Rule 14a-2(b)(9)(iii)") was intended to enable those who rely on proxy voting advice, whether for their own interests or on behalf of shareholders who have entrusted them with proxy voting authority, to have information available to them to effectively assess the recommendations provided by proxy voting advice businesses and thereby make more informed voting decisions.

2. Comments Received

a. Comments on Proposed Review of Proxy Voting Advice by Registrants and Other Soliciting Persons

A number of commenters supported the proposed amendments and asserted that the changes would improve the completeness, accuracy, and reliability of the information underlying the voting advice,[253] which in turn would facilitate more informed decision-making by investors and investment advisers.[254] Many of these commenters stated that a review and feedback mechanism was warranted to ameliorate the incidence of errors, mistakes, and deficiencies in voting advice that they believe exists.[255] Several commenters also expressed the opinion that

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[253] *See, e.g.,* letters from BIO; BRT; CCMC; CEC; CGC; ExxonMobil; Mark R. Allen, Executive Vice President, FedEx Corporation (Feb. 3, 2020) ("FedEx"); GM; IBC; Nasdaq; SCG.

[254] *See, e.g.,* letters from BRT; CCMC; CEC ("The ability of issuers to review and provided feedback on both draft and final proxy reports prior to publication is an important step in preserving the integrity of the proxy voting process…."); NIRI ("Overall, we believe the proposed rules … address and rectify significant issues that have hindered investment advisers in making informed determinations on investors' behalf."); ExxonMobil; Mylan; SCG; Bernard S. Sharfman, Chairman, Advisory Council, Main Street Investors Coalition (Dec. 20, 2019) ("B. Sharfman I") (asserting that the proposed review process "should be a good thing for shareholders because the back and forth between the company and the proxy advisor … should make each party better informed, allowing them to make sure that factual errors and inadequate analytics are not tainting their respective voting recommendations.").

[255] *See, e.g.,* letters from ACCF (referring to its 2018 paper exploring the analytical and methodological errors in proxy advisors' recommendations: *Are Proxy Advisors Really a Problem?*); ACCF II (referring to its 2020 paper, *Are Proxy Advisors Still a Problem?);* BIO; BRT ("Business Roundtable has long been concerned that proxy advisors produce reports that frequently include errors, factually inaccurate information and incomplete analysis."); CCMC (citing "frequent and significant errors in analysis and methodology" and a "high incidence of factual and analytical errors in proxy advisor reports."); CEC; CGC ("[The proposal to allow review of proxy voting advice] would help address one of the biggest flaws of the current proxy advice system, which is the tendency of proxy advisory firms to make egregious errors in vote recommendations"); ExxonMobil; Garmin; NAM (asserting that "Proxy firm reports and recommendations feature a profusion of errors and misleading statements"); Nareit; Nasdaq ("Factual errors have … been identified by 95% of Business Roundtable members and 'all raise concerns regarding the rigor and integrity

registrants and other soliciting persons had been disadvantaged under the existing system because very few were afforded the opportunity to review proxy voting advice in advance[256] or were given meaningful opportunities to engage with proxy voting advice businesses to remedy any perceived deficiencies they identified in voting advice.[257] Commenters supporting the proposal also stated that even when registrants do receive draft voting advice from proxy voting advice businesses in advance of its publication, they typically are not given sufficient time for a thorough review and response.[258]

In many cases, commenters who supported the opportunity for advance review provided by proposed Rule 14a-2(b)(9)(ii) disagreed with the suggestion of other commenters that the proposal would compromise the independence of proxy voting advice businesses, with some pointing to the fact that a number of registrants were already participating in advance review programs offered by proxy voting advice businesses.[259]

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of the proxy advisory firms' internal fact-collection and analysis processes' … The ability to identify and correct errors is crucial for accuracy and accountability."); NIRI; SCG.

[256] *See, e.g.,* letters from CGC; CEC ("[T]he lack of any reasonable access by all issuers – not just the largest issuers – to draft and final proxy reports and the inability of those issuers to adequately review both reports before publication is highly problematic …. Providing all companies with the ability to review the draft proxy report is an important step to ensuring the integrity of the data within the proxy report."); Richard R. Dykhouse, Executive Vice President, General Counsel & Corporate Secretary, Charter Communications, Inc. (Feb. 3, 2020) ("Charter"); Penny Somer-Greif, Chair, and Gregory T. Lawrence, Vice-Chair, Committee on Securities Law, Maryland Bar Association (Feb. 3, 2020) ("MSBA"); Nareit; Nasdaq (describing current opportunities available to registrants for review of draft proxy voting advice as "an uneven playing field"); NIRI.

[257] *See, e.g.,* letters from ACCF; BRT; CCMC; CEC; GM, Mylan; NAM; Nareit; Nasdaq, NIRI; SCG.

[258] *See, e.g.,* letters from BRT (noting the limited window that ISS allows for comment on draft reports that it provides to S&P 500 companies); CCMC; CEC; CGC; Charter; GM; NAM; Nasdaq; NIRI; SCG ("ISS provides its reports to S&P 500 companies in advance and takes comment on any factual errors in a 48-hour timeframe, although companies are sometimes given less response time."). In support of their views on needed improvements to proxy voting advice, several commenters cited the results of various surveys. *See, e.g.,* letters from ACCF; BRT; CCMC; Nareit; Nasdaq; SCG. *But see, e.g.*, letters from CII IV; Elliott I; Glass Lewis II; SWIB (questioning the rigor, and therefore the usefulness, of such surveys).

[259] *See, e.g.,* letters from SCG ("It is difficult to understand how, if ISS' voluntary review and comment processes do not currently compromise the independence of their advice the Proposed Rule's review and comment period for all public companies would do so."); BIO; ExxonMobil.

Several commenters that were in favor of the proposal offered suggested modifications intended to increase the rule's efficacy,[260] such as giving registrants more time to review reports than was proposed;[261] explicitly including within the scope of the advanced review process proxy voting advice based on custom policies[262] and mandating that proxy voting advice businesses make certain public disclosures to enhance transparency (*e.g.*, publishing proxy voting advice following shareholder meetings).[263]

While many commenters supported the proposed review and feedback provisions, a substantial number of commenters were opposed.[264] Many such commenters argued that there

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[260] *See, e.g.,* letters from ExxonMobil; GM; MSBA; Nasdaq; SCC I.

[261] *See, e.g.,* letters from BIO; BRT; Nasdaq.

[262] *See, e.g.,* letter from BRT ("The majority of our member companies surveyed indicated that voting advice formulated under a clients' custom policies should be subject to the proposed review and feedback period. Member companies noted that the same need to correct factual inaccuracies exists with these reports…."). *But see, e.g.,* letters from CII IV; Heidi W. Hardin, Executive Vice President and General Counsel, MFS Investment Management (Feb. 3, 2020) ("MFS Investment") (stating that advice based on custom policies should be excluded from the review framework as any research provided by proxy voting advice businesses under the MFS internal proxy voting is "proprietary and commensurate with [MFS'] overall investment approach"); PIAC II.

[263] *See, e.g.,* letters from BRT (suggesting a requirement that proxy voting advice businesses issue final reports tallying final voting figures and comparing the results to the businesses' voting recommendations to clients); SCC I (asserting that publication would facilitate and encourage more public discussions about corporate governance standards and permit more informed feedback about the analyses and conclusions in company reports prepared by proxy voting advice businesses).

[264] *See, e.g.,* letters from 62 Professors; AFL-CIO II; Sharon Fay, Co-Head Equities, and Linda Giuliano, Head of Responsible Investment, AllianceBernstein (Feb. 3, 2020) ("AllianceBernstein"); Chelsea J. Linsley, Staff Attorney, and Danielle Fugere, President & Chief Counsel, As You Sow (Feb. 3, 2020) ("As You Sow II"); Baillie Gifford; Dennis M. Kelleher, President & CEO, et al., Better Markets, Inc. (Feb.3, 2020) ("Better Markets"), David Sneyd, Vice President, Analyst, Responsible Investment, BMO Global Asset Management (Jan. 31, 2020) ("BMO"); Lauren Compere, Managing Director, Boston Common Asset Management (Feb. 3, 2020) ("Boston Common") (asserting that the proposal would "allow corporations to intercept recommendations critical of the corporation or its management[, undermining] the checks and balances necessary for functioning markets"); Amy D. Augustine, Director of ESG Investing, and Timothy H. Smith, Director of ESG Shareowner Engagement, Boston Trust Walden (Nov. 20, 2019) ("Boston Trust"); Bricklayers; CalPERS ("While the release suggests that the Proposed Rule is necessary to protect investors from potentially incomplete or conflicted advice, the reality is that there has been no investor demand for the Proposed Rule."); CalSTRS; CFA Institute I; CII IV; CIRCA (characterizing the proposed review and feedback process as "an unprecedented intrusion into proxy voting"); Kevin E. McManus, Director of Proxy Services, Egan-Jones Proxy Services (Feb. 3, 2020) ("Egan-Jones"); Glass Lewis II; ICI; ISS; Cynthia M. Ruiz, Board President, Los Angeles City Employees' Retirement System (LACERS) (Feb. 18, 2020) ("LACERS"); MFS Investment; Scott M. Stringer, New York City Comptroller (Nov. 20, 2019) ("NYC Comptroller"); New York Comptroller II; Ohio Public Retirement; Richard Stensrud, Executive Director, School Employees Retirement System of Ohio (Jan. 30, 2020) ("Ohio School Retirement"); Olshan Shareholder Activism Group (Feb. 3, 2020) ("Olshan LLP"); PIAC II; PRI II; Seven Corners; Segal Marco II; Amy M. O'Brien, Senior Managing Director, Head of Responsible Investing, and

was an absence of compelling evidence of frequent errors or significant deficiencies in proxy voting advice to warrant such a requirement.[265] Moreover, commenters emphasized that the clients of proxy voting advice businesses generally have been satisfied with the quality of the advice they receive.[266] In support of this view, commenters pointed to the absence of complaints from clients of proxy voting advice businesses, as distinguished from the large volume of complaints from registrants and their advocates.[267]

Commenters opposing the proposal also expressed their concern that requiring advance review of proxy voting advice by registrants would confer an unfair advantage to company management in disputed proxy matters[268] and would compromise the ability of proxy voting

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Yves P. Denize, Senior Managing Director, Division General Counsel, Teachers Insurance and Annuity Association of America (TIAA) (Feb. 3, 2020) ("TIAA"); William J. Stromberg, President and CEO, T. Rowe Price (Jan. 29, 2020) ("TRP"); Third Point LLC (Feb. 3, 2020) ("Third Point LLC"); Jonas D. Kron, Senior Vice President, Trillium Asset Management, LLC (Feb. 3, 2020) ("Trillium"); ValueEdge I. *See also* IAC Recommendation.

[265] *See, e.g.,* letters from AFL-CIO II ("The Commission has not made any showing of factual errors or methodological weaknesses in proxy voting advice [that] need correction by companies before it is distributed to clients."); AllianceBernstein; As You Sow II ("The Commission has failed to evidence any problem with the current state of affairs…"); Better Markets; BMO; Bricklayers; CalPERS; CalSTRS; CFA Institute I; CII IV ("[T]he paucity of evidence of pervasive factual errors by proxy advisors suggests that, in fact, no regulatory intervention is necessary or justified."); CIRCA; Glass Lewis II; Michael W. Frerichs, Illinois State Treasurer (Jan. 16, 2020) ("Illinois Treasurer"); ISS; NYC Comptroller; New York Comptroller II; Ohio Public Retirement; PERA; PRI II; Jeffrey S. Davis, Executive Director, and Jason Malinowski, Chief Investment Officer, Seattle City Employees' Retirement System (SCERS) (Jan. 31, 2020) ("Seattle Retirement System"); Segal Marco II; TIAA; Trillium; TRP; Third Point LLC; ValueEdge I. One commenter also noted that at the Commission's 2018 Roundtable on the Proxy Process, "not one single participant . . . saw a need to impose additional regulation on proxy advisers . . . ." *See* letter from ISS. *See also* IAC Recommendation.

[266] *See, e.g.,* letters from Better Markets ("There is little evidence to support [the] claim [that the proposed changes are for the benefit of investors] …. To the contrary, institutional investors who manage trillions of dollars of Americans' savings and retirement funds are urging the SEC not to proceed with the misguided policies set forth in the Release."); CalPERS ("It is worth noting that no institutional investors have suggested that [mandatory review periods for registrants] would enhance the quality, quantity, or timeliness of advice.").

[267] *See, e.g.,* letters from CalPERS ("[T]he reality is that there has been no investor demand for the Proposed Rule. The push for reforms in this area is not from investors who are obtaining the advice . . . but instead is from the companies that are subjects of the advice sought." . . . Existing clients have few complaints about the quality of proxy voting advice . . . .");ValueEdge I.

[268] *See, e.g.,* letters from Olshan LLP; PRI II (asserting that the proposal "biases advice towards favoring managers, reducing the accuracy and independence of proxy voting advice," because it imposes costs only on recommendations that management opposes); SES (expressing concern regarding the possibility that the right of advance review creates information asymmetries favoring registrants).

advice businesses to provide disinterested, independent advice.[269] Several such commenters stated that giving registrants the priority to review voting advice before the clients of proxy voting advice businesses was incompatible with the Commission's own published views,[270] as well as the principle behind FINRA Rule 2241, which governs conflicts of interest in connection with the publication of equity research reports and public appearances by research analysts.[271]

Some commenters were also concerned that the right of advance review would increase the risk of insider trading of material, non-public information[272] and, more generally, expressed doubts about the effectiveness of the proposal's framework for safeguarding the confidentiality of materials provided by proxy voting advice businesses to registrants.[273] Along these lines, some

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[269] *See, e.g.,* letters from AFL-CIO II; AllianceBernstein; Baillie Gifford; CalPERS; CFA Institute I.; CII IV (" [W]e believe the proposed requirement will be reasonably perceived as impairing the independence of the proxy advisor research, particularly since the proxy advisor is required to seek review and receive feedback from self-interested companies before sharing the draft report with their own paying client . . . ."); MFS Investment; New York Comptroller I; Ohio Public Retirement; PRI II; TRP.

[270] *See, e.g.,* letters from CII IV; ISS, New York Comptroller II; Sanford Lewis, Director, Shareholder Rights Group (Feb. 3, 2020) ("Shareholder Rights II"), referring to Communications Among Shareholders Adopting Release at 48279. In that release, the Commission stated:

> A regulatory scheme that inserted the Commission staff and corporate management into every exchange and conversation among shareholders, their advisors and other parties on matters subject to a vote certainly would raise serious questions under the free speech clause of the First Amendment, particularly where no proxy authority is being solicited by such persons. This is especially true where such intrusion is not necessary to achieve the goals of the federal securities laws. [48279]

[271] *See, e.g.,* letters from AFL-CIO II; As You Sow II; BMO; Boston Trust, CII IV; NYC Comptroller; New York Comptroller II; PIAC II; TRP.

[272] *See, e.g.,* letters from CII IV; ISS.

[273] For example, some commenters thought the confidentiality provision in Note 1 to proposed Rule 14a-2(b)(9)(ii) would be unwieldy and exacerbate delays. *See, e.g.,* letters from Baillie Gifford; CalPERS; CCMC; Glass Lewis II; ISS; Olshan LLP (stating that the proposals significantly underestimate the time and expense of negotiating confidentiality agreements and providing detailed reasons as to why the proposals would be so time consuming and costly); SES (asserting that needing to sign individual confidentiality agreements between every registrant and proxy voting advice business would be cumbersome "without any tangible benefit"). *See also* letter from ExxonMobil (advocating in favor of a "simple and straightforward confidentiality notice with a consent" and against a "complex or signed contractual agreement [which] could undermine the review process or registrants' other legal rights"). Other commenters were critical of the proposed stipulation that any confidentiality agreements could be "no more restrictive than similar types of confidentiality agreements" the proxy voting advice business uses with its clients." These commenters asserted that it was not feasible to use client agreements as a model for the terms of confidentiality with registrants. *See, e.g.,* letters from Glass Lewis II; ISS.

commenters asked for clarification about how the proposed confidentiality provision would work in practice,[274] and others suggested ways the provision and its implementation could be improved, including by reconsidering the duration of confidentiality and setting specific standardized terms.[275]

A substantial number of commenters opposed the proposed review and feedback process on the grounds that it would significantly impede the ability of proxy voting advice businesses to deliver timely and high quality advice to their clients[276] and, as a consequence, would weaken the ability of their clients to thoughtfully consider the advice and make informed decisions.[277] Many such commenters were doubtful that the proposed rules governing the advance review and feedback of proxy advice was a viable framework[278] and expressed concern that it would create numerous logistical and practical challenges that would be highly disruptive to the proxy voting system.[279] Commenters also noted the likelihood of significant costs associated with the proposal

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[274] *See, e.g.,* letter from Baillie Gifford.

[275] *See, e.g.,* letters from CII IV (suggesting that more consideration be given to the duration of confidentiality over proxy voting advice businesses' proxy advice and the businesses' permitted recourse when the terms of confidentiality are violated); Nasdaq (asserting that "standardizing and streamlining this process would reduce legal costs and time spent negotiating each confidentiality agreement and help ensure that such agreements contain standardized restrictions and disclaimers").

[276] *See, e.g.,* letters from AFL-CIO II; As You Sow II; Baillie Gifford; BMO; Boston Trust; CalPERS; CII IV; Elliott I; NYC Comptroller (stating its view that under the proposed review and feedback framework proxy voting advice businesses "will have less time to collect, verify, analyze and present data and provide their research reports to clients well in advance of the annual meeting"); New York Comptroller II; PIAC II; TIAA; TRP (asserting that the time periods allotted for the review and feedback process "have the very real potential to diminish the time needed for registered investment advisers to fulfill essential fiduciary obligations related to proxy voting").

[277] *See, e.g.,* letters from As You Sow II; BMO; Bricklayers; CalPERS; CII IV; PERA; TRP.

[278] *See, e.g.,* letters from CIRCA; Paul Schott Stevens, President and CEO, Investment Company Institute (Feb. 3, 2020) ("ICI") (stating that the proposed framework "would affect substantially and adversely the timeliness and cost of proxy advisory firms' advice, and thus its overall value to funds and their shareholders"); Interfaith Center II; TRP (stating, among other criticisms, that the review and feedback process would be logistically impracticable and "unworkable within the current time constraints of the intensely seasonal proxy voting cycle").

[279] This included the impracticability of applying the rules in the context of proxy contests or M&A transactions. *See, e.g.,* letters from CII IV; Olshan LLP (providing detailed reasons why the proposals would be challenging in proxy contests).

that would be incurred by proxy voting advice businesses, which many asserted would ultimately be borne by the businesses' clients.[280]

In addition to addressing practical challenges of the review and feedback process, commenters identified a number of potential unintended consequences that might result,[281] including diminished competition among proxy voting advice businesses,[282] limitation of market choice for consumers of proxy voting advice,[283] reduction in shareholder voting,[284] and a decline in the utility of proxy voting advice,[285] which some commenters warned might be watered down to

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[280] *See, e.g.,* letters from 62 Professors; AFL-CIO II, Baillie Gifford; BMO; Bricklayers; CalPERS; CFA Institute I; CII IV; Egan-Jones; ICI; MFS Investment; NYC Comptroller; New York Comptroller II; Ohio Public Retirement; Ohio School Retirement; Olshan LLP; Segal Marco II; TIAA; Mark D. Epley, Executive Vice-President & Managing Director, General Counsel, Managed Funds Association, and Jiří Król, Deputy CEO, Global Head of Government Affairs, Alternative Investment (Feb. 3, 2020) ("MFA & AIMA").

[281] *See, e.g.,* letters from 62 Professors; AFL-CIO II, Fran Seegull (Feb. 2, 2020) ("Alliance"), As You Sow II, BMO, Bricklayers; CalPERS, CFA Institute I; CII IV; Shawn T. Wooden, Connecticut State Treasurer (Jan. 31, 2020) ("CT Treasurer"); Egan-Jones; Elliott I; Diandra Soobiah, Head of Responsible Investment, NEST - National Employment Savings Trust (Jan. 27, 2020) ("Employment Savings"); Hermes; ISS; LA Retirement; MFA & AIMA; New York Comptroller II; TIAA.

[282] *See, e.g.,* letters from 62 Professors; Baillie Gifford ("It seems likely that the proposed amendments would be perceived as onerous and deter new entrants to the proxy advisory industry"); AFL-CIO II ("The additional burdens created by the proposed regulations and increase in market concentration if smaller proxy voting providers cannot stay in the business will significantly increase costs for investors. By limiting competition and creating barriers to entry, the Commission's proposed rulemaking is likely to result in an even greater reliance by investors on Institutional Shareholder Services and Glass Lewis"); BMO; Bricklayers; CalPERS, CII IV (arguing that mandatory "pre-review" requirements will be prohibitively costly for proxy voting advice businesses and therefore "likely to preclude new entrants, eliminate one or more incumbents, and potentially lead any survivor to follow a business model that includes providing consulting services to issuers, compounding concerns on influencing of proxy advisor reports"); Prof. Sergakis; TIAA.

[283] *See, e.g.,* letters from CII IV (noting that some of its members switched from ISS to Glass Lewis because they believed ISS's practice of providing some companies the right to pre-review reports compromised the independence of the ISS analysis); Elliott I.

[284] *See, e.g.,* letters from Alliance, As You Sow II ("The Proposed Rule may increase the liability of proxy advisory services, or the perception of legal liability, causing proxy advisors to decline to issue recommendations where issuers challenge findings, thereby limiting the number of shareholders willing or able to conduct their own research sufficient to vote for a shareholder proposal"); BMO; CII IV.

[285] *See, e.g.,* letters from Bricklayers (stating that the additional burdens imposed by the proposal "would almost certainly lead to … shrinking the overall market for proxy advisory services … , the Proposed Amendments thus would burden competition without serving the Exchange Act's purposes"); CalPERS; CII IV; ICI; New York Comptroller II; MFA & AIMA.

lessen the risk of litigation[286] and would be influenced by the self-interested views of registrants before the advice was seen by clients.[287] Some commenters also raised the possibility that the proposal was unconstitutional because it violated the right of free speech under the First Amendment[288] and the takings clause of the Fifth Amendment.[289]

Many of the commenters who generally opposed the proposals also offered suggested modifications to the extent that the Commission elected to proceed to adoption of final rules.[290] This included shorter mandatory review periods provided to registrants,[291] limiting advance

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[286] *See, e.g.,* letters from BMO (discussing its concern that the proposal would "significantly increas[e] the regulatory burden on proxy advisers through increasing litigation risk); CalPERS ("We recognize that the proxy advisors are not required to revise advice, but a heavy hammer is placed over their heads by the added emphasis on Rule 14a-9 liability … Although the Release states there is no new private right of action created by the new Rule 14a-2(b)(9), the process and greater focus on Rule 14a-9 will make it more likely that proxy voting advice businesses will be sued under the new rules."); CFA Institute I (noting the possible consequence that commentary from analysts, who might be encouraged to self-censor, would be "less forthright"); Ohio Public Retirement (questioning whether Rule 14a-9 liability might be used "to threaten or pressure proxy advisory firms to incorporate issuer feedback or accept revisions to their voting advice"); NYC Comptroller; PRI II.

[287] *See, e.g.,* letters from Baillie Gifford ("In relation to the influence of registrants, allowing registrants to also comment on analysis and dispute methodology and opinion, in conjunction with the proposed anti-fraud amendments, could render proxy advisors vulnerable to litigation if these matters are not incorporated into the advice. This is clearly inappropriate as these matters are necessarily subjective. This could result in the watering down of advice to avoid potential actions, rendering the advice too bland to be of use."); Bricklayers ("Another potential negative impact of the Proposed Amendments would be to advantage the viewpoints of corporate management.").

[288] *See, e.g.,* letters from CFA Institute I; CII IV (noting the "potential implications of the First Amendment on the independence of the research reports of proxy advisors if subject to required company review and feedback"); CIRCA (arguing that establishing a mandatory registrant review process of proxy voting advice would constitute an unconstitutional restraint on the speech of proxy advisory firms"); Elliot; Glass Lewis II; ISS; Interfaith Center II; New York Comptroller II; Mari C. Schwartzer, Director of Shareholder Activism and Engagement, NorthStar Asset Management, Inc. (Feb. 3, 2020) ("NorthStar"); Shareholder Rights II; Nell Minow, Vice Chair, ValueEdge Advisors (Mar. 10, 2020) ("ValueEdge III"); Washington State Investment. We discuss our response to certain Constitutional objections to the proposed amendments in Section II.C.3.d. *infra*.

[289] *See, e.g.,* letters from CalPERS ("Enabling a non-client to review the work product before actual clients … arguably violates the Constitution by taking private property for public use without compensation"); ISS. We discuss our response to certain Constitutional objections to the proposed amendments in Section II.C.3.d. *infra*.

[290] *See, e.g.,* letters from AFL-CIO II; AllianceBernstein; Baillie Gifford; BMO; CII IV; CIRCA; Elliott I; Glass Lewis II; ICI; Illinois Treasurer; Interfaith Center II; MFS Investment; Ohio Public Retirement; Olshan LLP; PIAC II; Seven Corners; TIAA. *See also* IAC Recommendation.

[291] *See, e.g.,* letters from IAA; PIRC.